AC241 – Uses of Accounting Information II

Chapter 2 – Building Blocks of Managerial Accounting

Key Terms

1. **Allocate** - The assignment, using some reasonable basis, of any indirect cost to one or more cost objects

2. **Assign** - Allocation of consumed resources to the consumer activities or cost objects.

3. **Average Cost** - Production cost per unit of output, computed by dividing the total of fixed costs and variable costs by the number of total units produced (total output).

4. **Controllable Costs** - Expenditures that are subject to the discretion of a manager and, hence, can be kept within predefined limits.

5. **Conversion Costs** - The combined total of direct labor cost and manufacturing overhead incurred in processing raw materials to a finished state.

6. **Cost Object** - Anything for which cost data is desired by a manager, e.g., products, product lines, customers, jobs, and organizational sub-units such as departments or divisions of a company.

7. **Cost of Goods Manufactured** - Total cost of all goods produced, which includes costs of material, labor, and overhead, whether fixed or variable.

8. Differential Cost - Any cost that differs between alternatives in a decision-making situation.

9. **Direct Cost** - A cost that can be directly related to producing specific goods or performing a specific service.

10. **Direct Labor Cost** - An element of Prime Costs and Conversion Costs, the cost of compensating employees who physically convert raw materials into finished products.

11. **Direct Material** - Primary raw materials that become a physical part of a finished product whose costs are traceable to the finished product.

12. **Finished Goods Inventory** - Products completely manufactured, packaged, stored, and ready for sale to customers.

13. **Fixed Cost** - A cost that does not vary depending on production or sales levels, such as rent, property tax, insurance, or interest expense.

14. **Indirect Cost** - Manufacturing cost that cannot be easily seen in the product. Electricity, hazard insurance on the factory building, and real estate taxes are examples of indirect costs.

15. **Indirect Labor** - An element of Conversion Costs, manufacturing labor costs that cannot be directly tied to a finished product.

16. **Indirect Materials** – An element of Manufacturing Overhead, materials used in the manufacture of products that are difficult to trace to individual units (i.e. glue, small amounts of lubricant).

17. **Inventoriable Product Costs** – All costs of a product that are recorded as an asset (inventory) under US GAAP (direct materials, direct labor and manufacturing overhead). These costs are not expensed until the related product is sold.

18. **Manufacturing Overhead** – All manufacturing costs that are not for direct materials and direct labor.

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19. **Marginal cost** - The increase or decrease in costs as a result of one more or one less unit of output.

20. **Other Indirect Manufacturing Costs** – All manufacturing overhead costs other than those associated with indirect material and indirect labor.

21. **Period Costs** – Expenses recognized as costs in the period in which they were incurred; often referred to as operating expenses, or selling, general and administrative expenses.

22. **Prime Costs** – The sum of direct material and direct labor costs.

23. **Raw Materials Inventory** – All raw materials, direct and indirect, not yet used in manufacturing.

24. **Research and Development** – Investigative activities that a business chooses to conduct with the intention of making a discovery that can either lead to the development of new products or procedures, or to improvement of existing products or procedures.

25. **Sunk Costs** – A historical or past cost that a company has already incurred and, therefore, is irrelevant to the decision-making process.

26. **Total Costs** – The cost of all resources used throughout the value chain.

27. **Trace** – The ability to assign a direct cost to a cost object.

28. **Value Chain** – Linked set of all **value**-creating processes or activities that convert basic input materials into products or services for the final consumer.

29. **Variable Costs** – A cost that is directly proportional to the volume of output produced.

30. **Work-in-Process Inventory** – That part of a manufacturer's inventory that is in the production process and has not yet been completed and transferred to the finished goods inventory (includes direct material, direct labor, and manufacturing overhead).